EXECUTIVE STRATEGY DELIVERABLE

FitBox Strategic Diagnostic & Transformation Roadmap

Understanding Riyadh performance decline, identifying underlying root causes, and defining strategic priorities for sustainable subscriber growth.

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Session Alignment

Today's discussion focuses on understanding the drivers behind FitBox's performance decline and aligning on the actions required to restore sustainable growth.

Discussion Objectives

- **Align Context:** Review performance drift and Riyadh market indicators.
- **Validate Methodology:** Understand how we evaluated FitBox's strategy, operations, market position, and financial performance.
- **Discuss Key Findings:** Review the priority challenges affecting customer retention, operations, and competitive position.
- **Align on Strategic Priorities:** Identify where FitBox should focus to improve customer value and restore growth.
- **Align on Next Steps:** Define the immediate actions and longer-term transformation priorities.

Deliverable Process Flow

Our discussion structure transitions from operational symptoms to structural enablers:

1. Understanding Current Situation
2. Diagnostic Approach & Root Causes
3. Execution Transformation Portfolio

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Agenda & Discussion Structure

Framework Rationale

This document moves intentionally from initial observations to deep root causes. Separating symptom tracing from causal validation ensures that capital is deployed to build high-value subscriber experience enablers rather than chasing short-term pricing adjustments.

SECTION 01

Understanding the Situation

Evaluating operational baselines, macroeconomic trends, and direct customer voices within Riyadh's competitive landscape.

Riyadh Footprint Baseline

FitBox has built a recurring subscription model, but increasing churn threatens its core revenue engine

Operational & Commercial Engine

FitBox serves healthy, calorie-controlled meal plans across Riyadh, targeting health-conscious professionals.

- **Pricing Structure:** Subscriptions priced between 500–1,200 SAR/month.
- **Recurring Base:** 80% of total revenue is locked in recurring automatic-renewals.
- **Operational Assets:** Operating a centralized kitchen; fleet logistics executed using 20 outsourced delivery vans.

Performance Diagnostics

Unstable operations have translated to sharp revenue decline and immediate customer experience gaps

Key Churn & Revenue Metrics

-22%
Monthly Revenue Drift

Spike
Customer Churn Rate

+40%
Delivery-Related Complaints

Insight: The performance decline corresponds directly with a transition to outsourced delivery couriers, leading to 30% late drops and fueling the churn rate increase.

Four Recurring Customer Experience Gaps

1. Inconsistent Delivery Times

Outsourced couriers frequently miss localized delivery windows, disrupting subscriber meal plans and triggering rapid user churn threats.

2. Culinary Quality Variance

Kitchen standardization gaps lead to portions and temperature variance, impacting the perception of value for a premium subscription.

3. Menu Stagnation

Riyadh clients expect ongoing selection updates. Keeping identical menus across consecutive cycles drives fatigue and interest in competitors.

4. Declining Perceived Value

New competitors have entered Riyadh at lower price points, capturing price-sensitive clients who do not see clear brand differentiation.

SECTION 02

Diagnostic Approach & Methodology

Moving from symptoms to root causes through structured business diagnosis.

Problem Solving Methodology

We applied a structured framework to separate symptoms, hypotheses, and root causes

1. Symptoms

22% Sales decline, delivery delay tracking, stagnant menu metrics.

2. Assessments

Deteriorating outsourced fleet, operations manager impact, menu stagnation.

3. Root Causes

Logistics misalignments, weak data enablers, commoditized positioning.

4. Priority Choices

Prioritize experience/personalization over direct price-based competition.

Core Logic: Systemic issues cannot be solved by treating symptoms. Running an aggressive pricing discount or increasing customer acquisition budget does not solve the root logistics failure causing subscription churn.

Review Diagnostic Approach

FitBox’s challenges must be assessed across interconnected business dimensions

1. Strategy

Unclear value proposition allows price-cut competitors to win.

2. Business Model

High subscription dependency (80%) amplifies retention risks.

3. Operating Model

Outsourced delivery model lacks service level controls (SLAs).

4. Supply & Demand

Fleet partners optimize cost; Riyadh demand shifts to variety.

5. Enablers & Data

No real-time delivery visibility prevents proactive customer recovery.

6. Financials

High churn levels reduce margin available for menu R&D.

SECTION 03

Discussing Key Findings

Testing multiple explanations before defining the root causes.

Assessments Mapping

Multiple Assessments could explain FitBox's declining performance

ID	Assessment	Observed Supporting Evidence	Focus Risk
H1	Operational deterioration	Rising late courier drops; quality complaints	High Risk
H2	Weakened value proposition	Cheaper local meal prep brands in Riyadh market	High Risk
H3	Delivery partner misalignment	External fleet handles routing with zero SLA oversight	High Risk
H4	Menu stagnation	Static recipes for several seasonal cycles	Medium Risk

Diagnostic Prioritization

The highest-impact Assessment relate to customer experience, differentiation, and operating model effectiveness

Quadrant B (High Impact, Low Evidence) H7: Acquisition vs. Retention budget imbalance	**Quadrant A (High Impact, High Evidence)** H1: Operational Logistics Decay H3: Outbound Delivery Model Misalignment
Quadrant D (Low Impact, Low Evidence) H8: Base packaging economics changes	Quadrant C (Low Impact, High Evidence) H4: Culinary Menu Selection Stagnation

Prioritization Methodology

We score indicators from 1 to 5 based on data confidence and scale of value impact. **H1 (Logistics Execution)** and **H3 (Delivery Fleet Oversight)** score maximum priority values (15 and 13 respectively), confirming that outbound fulfillment is the core leakage vector.

SECTION 04

Problem Deconstruction & Root Cause Analysis

Understanding how strategic, operational, and market issues reinforce each other.

Strategy & Economics Alignment

High subscription dependency demands robust retention to defend our premium margins

Current Commoditized Position

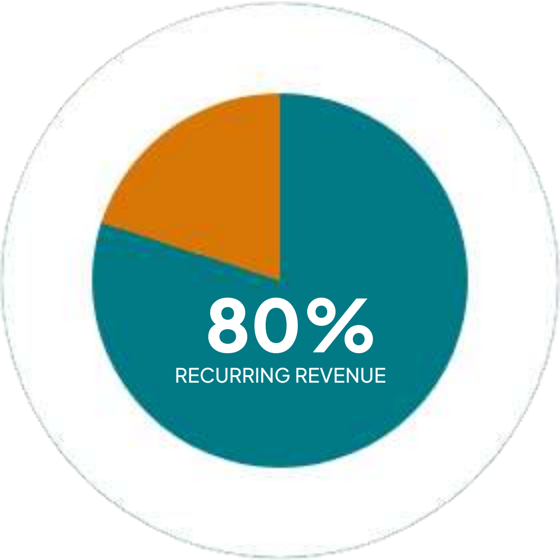
Positioned around generic "healthy meal convenience," which has become low-barrier-to-entry territory in Riyadh.

High Price Sensitivity

Future Target Position

Pivoting to high-trust "precision personalized health nutrition" with guaranteed cold-chain service levels.

Value-Based Premium Pricing



The Churn Multiplier Effect

Because 80% of sales are generated by active subscriptions, financial stability is linked directly to customer retention. When delivery failures cause customer churn to spike, the customer acquisition cost (CAC) rises significantly, impacting operating profit.

Internal Assessment: Operating Model

Current capabilities are not consistently delivering the customer promise

Customer Promise vs. Delivery Reality

Marketing Promise:

"Your premium personalized health lunch, delivered fresh and on schedule daily."

Fulfillment Reality:

Vans drop off meals 45 minutes late, temperatures vary, and kitchen standardization is inconsistent.

External Assessment: Supply

Outsourced delivery improves flexibility but reduces control over customer experience

Delivery Partner Misalignment

The outsourced van fleet operates under volume-based logistics incentives rather than brand-aligned customer service metrics. Consequently, localized delays do not impact courier payouts, although they directly cause customer churn.

Strategic Risk Trade-offs

- **Incentive Friction:** Third-party logistics providers (3PL) prioritize delivery density over maintaining precise drop windows.
- **SLA Gaps:** Contractual metrics lack performance penalties linked directly to subscriber churn.
- **Brand Exposure:** Delivery agents are the primary physical customer touchpoint.

External Assessment: Demand

Customer expectations have evolved beyond FitBox's current proposition

1. Delivery Precision

Riyadh consumers demand tight, reliable morning or lunch delivery windows matched to their calendar.

2. Menu Personalization

A shift toward macronutrient personalization, calorie adjustments, and allergen-free selections.

3. Continuous Novelty

Expectations of rotating chef selections to prevent meal plan monotony over long subscriptions.

Internal Assessment: Technology Enablers

Transitioning from reactive operations to a high-precision, tech-enabled model

1. Delivery Tracking Dashboard

Live courier location feed linked to operations dispatch. Automatically triggers alerts to customers if ETA slips by >10 mins.

2. Customer Analytics

Monitors client satisfaction trends and active cohort health. Identifies churn indicators early to trigger targeted recovery campaigns.

3. AI Demand Forecasting

Analyzes historic consumer selections to predict weekly kitchen batch volumes, aiming to reduce production waste by 35%.

4. CRM Automation

Automates renewal alerts and triggers instant feedback cycles if a subscriber logs a late or incorrect delivery.

Porter Value Chain Mapping

Value leakage is concentrated in operations, delivery, and customer service

Inbound Logistics	Operations	Outbound Logistics	Marketing & Sales	Service (Support)
Local fresh ingredient sourcing.	Standardized portions & quality controls.	Partner fleet routing & SLA oversight.	Subscriber acquisition funnels.	Proactive churn recovery processes.

Financial Assessment: Unit Economics

Revenue decline creates pressure on the subscription economics that fund future growth

Subscriber Lifetime Value (LTV)

The sustainable growth rate of a subscription business is driven by the relationship between customer Lifetime Value (LTV) and acquisition costs:

$$\text{LTV} = \frac{\text{ARPU} \times \text{Gross Margin (\%)}}{\text{Churn Rate}}$$

The Capital Allocation Cycle

- **High Churn Penalty:** Increasing churn drives down overall subscriber lifetime value.
- **Margin Depletion:** High churn levels consume operating budget, forcing FitBox to spend more on marketing just to keep sales flat.
- **Innovation Gap:** This dynamic starves the budget needed for kitchen standardization and menu innovation.

Cross-functional mobilization is required to accelerate diagnosis and execution

Function	Mobilization Accountability Mandate	Deployment Timeline
Operations Leader	Kitchen quality standardization; partner route SLA implementation.	Immediate (0–3 Months)
Marketing Team	Strategic brand repositioning and personalized offering launch.	Short-Term (3–6 Months)
Customer Experience	Establishing proactive churn feedback and recovery systems.	Short-Term (3–6 Months)
Finance Group	Unit economics tracking and delivery partner SLA cost analysis.	Medium-Term (6–18 Months)

SECTION 05

Strategic Refinement & Priority Areas

Translating diagnosis into strategic choices.

Strategic Root Cause Analysis

FitBox's decline is driven by a reinforcing cycle of weakened differentiation and inconsistent execution

Competitor Pricing Pressure → Perceived Brand Value Declines → Unreliable Courier Delivery Experience → Active Subscriber Churn Spikes → Reduced Operating Budget → Stagnant Culinary Innovation

Diagnostic Conclusion: Breaking this cycle requires a coordinated strategy. We must fix core logistics issues to protect recurring subscription revenue, while updating our value proposition to reduce price sensitivity.

SECTION 06

Recommendations & Transformation Roadmap

Creating an integrated response across strategy, operations, and economics.

Future State Architecture

Defining the Win: Four Core Pillars

1. FOCUS (Target Outcome)

Restore profitable growth by rebuilding customer trust, improving retention, and creating a differentiated subscription experience.

2. CHOICE (Where to Play)

Focus on health-conscious Riyadh customers who value convenience, reliability, and food quality, choosing not to compete solely on price.

3. ADVANTAGE (How to Win)

Build a sustainable competitive advantage around premium delivery, personalized nutrition, and continuous product innovation.

4. ALIGNMENT (Capability Model)

Align all parts of the business—including operations, marketing, and technology—to support a customer-centric retention strategy.

Initiative Blueprint

A coordinated strategy is needed across five key areas to stabilize operations and rebuild value

1. Delivery Recovery

Establish driver SLA tracking, optimize delivery routes, and introduce a proactive customer recovery process.

2. Operating Redesign

Realign our partnership contract incentives, standardize kitchen portion controls, and define clear process metrics.

3. Value Prop Refresh

Optimize subscriber pricing tiers, launch personalized nutrition options, and introduce a rotating seasonal menu.

Integrated Transformation

A phased roadmap to stabilize operations, redesign the customer platform, and scale

Phase 1: Stabilize Operations M0 – M3

Delivery Recovery: Integrate real-time courier dashboard to coordinate routes (Target: OTD to 85%).

Standardize Portions: Enforce kitchen portion controls to reduce weight variance (Target: variance <5%).

Active Customer Support: Establish triggered CRM notifications for client resolution.

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Phase 2: Redesign Experience M3 – M6

Customer Analytics: Deploy active cohort analytics tracking tool to monitor daily risk markers.

Menu Refresh: Launch personalized macro options and rotate menus to limit subscription fatigue.

Contract Restructure: Realign partner terms with volume metrics tied to successful delivery rates.

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Phase 3: Scale & Automate M6 – M9

AI Demand Forecasting: Integrate automated batch production forecasting (Target: 35% waste reduction).

Target Retention: Reach structured LTV goal (Target: reduce churn from 40% to 18%).

Riyadh Expansion: Expand logistics infrastructure across neighboring zones using tech SLA.

SECTION 07

Discussions

Open discussion on diagnostic findings, strategic choices, and immediate priorities.

Alignment on strategic priorities will determine FitBox's path toward sustainable growth

- Which diagnosed root causes align closest with the board's strategic observations?
- What steps can we take immediately to manage delivery performance with our outsourced fleet partners?
- How should we prioritize capital deployment between logistics tools, kitchen controls, and culinary R&D?